SMS Pharmaceuticals Ltd

Hyderabad maker of active drug ingredients (APIs), chiefly ibuprofen plus HIV, migraine, epilepsy and heart APIs, sold to generic drug makers in India and regulated markets abroad.

Concall-tracker report, filed under Q2-2027. Prepared 11 Nov 2026.

1. Snapshot

Number	Value	Plain read
Market cap	Rs 4,899 cr	What the market values the company at
Q2 FY27 revenue	Rs 316 cr	Up 30% on a year ago, a record quarter
Q2 FY27 operating margin	21%	Up from about 16-17% two years ago, on in-house raw materials
Q2 FY27 profit	Rs 39 cr	Up 57% on a year ago
FY26 revenue growth	13%	Below the 20% the company had guided
P/E	about 47	Pricey for an API maker

2. Concall coverage

Thirteen calls read from Nov 2022 to Nov 2026, about four years, with older calls skimmed for guidance and the latest read in full.

Quarter	Date	Transcript read?
Q2 FY23	Nov 2022	Yes
Q3 FY23	Feb 2023	Yes
Q4 FY23	May 2023	Yes
Q1 FY24	Aug 2023	Yes
Q2 FY24	Nov 2023	Yes
Q3 FY24	Feb 2024	Yes
Q4 FY24	Jun 2024	Yes
Q1 FY25	Aug 2024	Yes
Q2 FY25	Nov 2024	Yes
Q4 FY25	Jun 2025	Yes
Q2 FY26	Nov 2025	Yes
Q4 FY26	May 2026	Yes
Q2 FY27	5 Nov 2026	Yes, read in full

Latest concall highlights: Q2 FY27 (5 Nov 2026)

- Revenue up 30% to Rs 316 cr; volumes up 10-15%, the rest from price increases. Operating margin 21%, profit up 57%.
- FY27 guidance (15% growth, 20% margin) now expected to be beaten.
- Ibuprofen plant at 90-95% use; expansion to 9,600 tonnes a year finishing in coming quarters, full in 6-8 months after.
- Rs 280 cr capex, Rs 160 cr spent, finishing in FY27; 6-8 new molecules start commercial production in FY28.

- New peptide subsidiary: R&D lab running, pilot output Q4 FY27, first contract research revenue Q2 FY28. Debt to reach about Rs 400 cr by year end.

Business mix and capacity

- Domestic vs export split not stated in this call; anti-inflammatory growth came from regulated-market ibuprofen demand. High-value APIs are 49% of sales.
- Ibuprofen capacity at 90-95% utilisation; expansion to 800 tonnes a month (9,600 a year) under way.

3. Earning trigger thesis

Five years of making its own raw materials (backward integration) lifted margins from the teens to about 20%, and the ibuprofen expansion plus 6-8 new APIs starting in FY28 add volume on top. Peptides are a long-dated option with nothing yet to show.

Trigger	What management said	Evidence so far	Time horizon	Strength
Backward integration	Margin to about 20%	Margin 16% FY24 to 21% now	Done	Strong: in the numbers
Ibuprofen expansion	9,600 tonnes a year	Plant full, expansion finishing	Next 2-3 quarters	Strong
New molecules	6-8 start in FY28	19 filings in 2 years	FY28	Moderate
Peptides	Meaningful in 2-3 years	No samples, no customers yet	FY28-FY29	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Debt rising to about Rs 400 cr (Nov 2026)
New business	Yes	Peptides subsidiary and CDMO arm set up (Nov 2026)
Margin up	Yes	Operating margin 21%, up 145 basis points, from backward integration (Nov 2026)
New management	No	-
New capacity	Yes	Ibuprofen to 9,600 tonnes a year; Rs 280 cr capex finishing FY27 (Nov 2026)
Big orders	No	-
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: Making its own ibuprofen raw materials lifted margins, and an ibuprofen expansion plus 6-8 new APIs in FY28 add volume.

3c. Margin bridge

Margin is 21% now vs about 19.5% a year ago and 16% in FY24. In-house intermediates cut cost and secured supply when raw material prices jumped, and price hikes plus scale did the rest. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2023	FY24 growth 15-20%	FY24 revenue up 36%	Delivered
Aug 2024	FY25 growth 20%, margin 20%	Revenue up 10%, margin 18%	Missed
Jun 2025	FY26 growth 20%, margin up	Revenue up 13%, margin 19-20%	Partly
Nov 2025	Rs 280 cr capex done by Nov 2026	Rs 160 cr spent; now by end FY27	Partly
May 2026	FY27 growth 15%, margin 20%	H1 up 19%, margin 21%; to beat	Too-early

The backward-integration story has been steady and it worked on margins. Revenue targets have been missed two years running, and timelines tend to slip by a quarter or two. Peptides are the newest story and have moved quickly from idea to subsidiary.

5. Bottom line

Durable earning trigger? YES

The margin gain from backward integration is real and visible, and the ibuprofen expansion is close to done with customer demand in hand.

Management consistent? MAYBE

It delivers on margins and capacity but has over-promised revenue growth, and capex dates slip a little.

> **6. Checkpoints for next quarter**
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> - Ibuprofen expansion completed and ramping
> - Operating margin holds at or above 20%
> - Rs 280 cr capex finishes by March 2027

This is not investment advice. Do your own due diligence.